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Statement of Profit or Loss

Exam code: 0450, 0986 & 0264, 0774

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Updated on 28 August 2025

Introduction to the statement of profit or loss

- **A statement of profit or loss records the income and costs of a business incurred over a period of time (usually one year)**
  - The statement is also known as an **income statement**
- Theprofit or loss statement identifies
  - Revenue
  - Cost of sales
  - Gross profit
  - Expenses
  - Operating profit (often known, simply, as profit)
- The extract from the statement for ***Toys and Trikes PLC*** shows figures for both 2022 and 2023, which enables year-on-year comparisons to be made

Profit or loss statement for Toys and Trikes Ltd

	2023	2022
	($000)	($000)
Revenue	274	262
Cost of Sales	169	154
Gross Profit	105	108
Expenses	48	44
Operating Profit	57	64

Gross Profit = Revenue – Cost of Sales

Operating Profit = Gross Profit – Expenses

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The statement of comprehensive income details revenue, costs and expenses over a trading year

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it
Help me understand

# of profit or loss

Sales revenue

- **This is money generated through selling goods and services**
  - Calculated by **Price x Quantity**

Worked Example

In 2023, Toys and Trikes Ltd earned sales revenue of $274,000, up from $262,000 in 2022

Revenue increased by $8,000 between 2022 and 2023

This may be due to **increased sales** volume, **higher prices** or a **combination** of the two

Cost of sales

- **The cost of producing or buying in the goods sold by the business during a time period**
  - They include the costs of raw materials, components, labour and packaging used to produce goods

Worked Example

In 2023, Toys and Trikes Ltd's cost of sales was $169,000, which included materials and labour. In 2022, its cost of sales was $154,000

Cost of sales increased by $15,000 between 2022 and 2023

This may be due to **suppliers increasing prices**, buying **better quality supplies** or increased **wastage**

Gross profit

- **Gross profit is made when revenue is greater than the cost of sales**
  - Calculated by **Sales revenue – Cost of sales**

Worked Example

$$= \$105{,}000$$

This is a decrease of $3,000 since 2022, when gross profit was $108,000

Expenses

- **Expenses are all of the other costs incurred by a business that are not directly related to each unit of output**
  - Examples include rent, salaries and utilities

Worked Example

In 2023, Toys and Trikes Ltd's expenses were $48,000, compared to $44,000 in 2022

Expenses increased by $4,000 between 2022 and 2023

This may be as a result of **increased salaries**, **higher utilities costs** or **rent increases**

Operating profit

- **This is profit made by a business after all costs have been deducted from revenue**
  - Calculated by **Gross profit – Expenses**

Worked Example

Operating profit for Toys and Trikes Ltd in 2023 was therefore

$$= \$105{,}000 - \$48{,}000$$

$$= \$57{,}000$$

This is a decrease of $7,000 since 2022, when operating profit was $64,000

Decisions based on the statement of profit or loss

- **Profit or loss statements** inform managers whether the business is making a profit or loss

- Finance managers are able to **interrogate the data** in order to make beneficial changes or set new strategic objectives

Case Study

Chillie's Cafe

Chillie's cafe sells cold drinks during the summer season in central Berlin.Its two best-selling products are bubble tea and smoothies

- Although Chillie's sells bubble tea drinks at a higher price, **smoothies are more profitable** for the business
  - Fewer bubble tea drinks than smoothies are sold, so **revenue is lower**
  - The **cost of sales** of bubble tea are higher than those for smoothies

If the business is making a profit

- **Is the profit higher or lower than last year?**
  - **If higher, what has the business done that could have led to this?**
    - For example, finding a cheaper supplier of raw materials or increasing sales due to a new promotional campaign
  - **If lower, why is profit falling?**
    - Have costs increased, such as higher energy bills for the premises, or have sales fallen due to a new competitor entering the market?
  - **Is the profit higher or lower than that of competitors?**
    - If lower, what can be done to become as profitable as other businesses?
    - For example, does the business need to improve the quality of the products or increase the **product portfolio**?

If the business is making a loss

pandemic, in which many businesses had to close or reduce working hours

- **Some losses may be more long-term**
  - For example, ecommerce growth has led to many high-street stores closing down as the number of customers has dwindled
- **Are competitors making losses?**
  - If they are, the business needs to consider whether the industry is changing to the point that it may become extinct
  - Alternatively, it needs to ask tough questions about what can be done to evolve with changing market conditions

Examiner Tips and Tricks

When interpreting a profit and loss statement, go beyond the figures – explain what they reveal about the business's performance, such as rising expenses reducing profitability

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